EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Aparri is a 1st class municipality located at the northernmost tip of Luzon Island, 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River, dividing it into two geographic areas – Aparri East and Aparri West. The Municipality is composed of 42 barangays sprawled within its 27,600.88-hectare land area, with a population of 65,857 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays, including the island of barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit-bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays, where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of educational institutions, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Aparri for the year 2025 and was aimed at determining whether Management presented fairly the Financial Statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Aparri, Cagayan for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Particulars	2025	2024	Increase/ (Decrease)
Financial Position			
Assets	1,148,885,245.05	1,233,026,327.51	(84,141,082.46)
Liabilities	304,685,061.16	285,971,479.38	18,713,581.78
Government Equity	844,200,183.89	947,054,848.13	(102,854,664.24)
Financial Performance			
Income	388,606,216.64	337,806,539.43	50,799,677.21
Expenses	381,876,056.60	327,555,143.57	54,320,913.03
Net Income	6,730,160.04	10,251,395.86	(3,521,235.82)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2025, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Construction of Farm-to-Market Road at Barangay Gaddang-Dodan	₱19,979,441.26
Purchase of 13 meters emergency response vessel	12,995,000.00
Purchase of 10 wheeler dumptruck	7,195,000.00
Purchase of firetruck	6,995,000.00
Construction of River Control at Barangay Sanja	5,993,300.69
Construction of Multipurpose Building/Gymnasium at Barangay Backiling	4,996,550.91
Total	**P58,154,292.86**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the Financial Statements of the Municipality of Aparri, Cagayan for the year-ended December 31, 2025 due to: (a) non-reclassification of completed projects from CIP accounts to the appropriate PPE accounts totaling to ₱91,876,158.55; (b) non-accrual of earned and unused leave credits totaling to ₱39,617,208.25; and (c) non-transfer of the Disaster Risk Reduction Management Fund (DRRMF) balance to Special Trust

Fund amounting to ₱18,860,146.83, hence, affecting the fair presentation of the Municipality's Financial Statements.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, accuracy, reliability, and existence of the reported balance of the PPE account amounting to ₱1,146,000.00 as at December 31, 2025 could not be established due to unreconciled discrepancies between the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) and the accounting records, contrary to COA Circular No. 2020-006 dated January 31, 2020, thereby affecting the fair presentation of the Financial Statements.

   We have recommended that the Management:

   a. Require the Accounting Unit and the Property Unit to perform regular reconciliations between the physical inventory of properties and the corresponding book records;

   b. Require the Inventory Committee to expedite the disposal of unserviceable properties;

   c. Ensure the proper recognition and derecognition of properties in the accounting records to achieve a fair presentation of PPE in the Financial Statements; and

   d. Require the Inventory Committee to strictly comply with the provisions of COA Circular No. 2020-006 dated January 31 2020 in the conduct of one-time cleansing of PPE.

2. Purchase Orders and procurement documents for the improvement of Municipal Welcome Arch were prepared, signed and approved after the goods had already been delivered and accepted, contrary to Section 4 paragraphs 7 and 8 of PD No. 1445, resulting in the circumvention of the standard procurement process and potentially constituting an irregular or illegal disbursement of public funds.

   We recommended that Management:

   a. Submit a written justification/explanation on the procurement process made by the Municipality after the delivery or completion of the supposed contract to the supplier, otherwise, the transaction will be disallowed in audit; and

b. As an improvement opportunity for the succeeding transactions, strictly ensure adherence to existing laws, rules and regulations applicable on the financial transactions and fiscal administration of government funds in order to avoid suspensions or disallowances in audit.

3. One hundred (100) cattle awarded by the Municipality to farmer-beneficiaries were not recorded in the books of accounts which is not in accordance with the International Public Sector Accounting Standards (IPSAS) 27, thereby understating the Biological Asset account and casts doubts on the completeness and reliability of the Financial Statements.

   We have recommended that the Management:

   a. Direct the Municipal Accountant to record the Biological Assets based on the recognition and measurement criteria required in IPSAS 27; and

   b. Strengthen coordination between the Municipal Agriculture Office and the Accounting Office to ensure that all Biological Assets are recorded in the books.

G. Summary of Total Suspensions, Disallowances, and Charges as at December 31, 2025

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	₱6,465,137.47	-	₱1,795,984.73	₱4,669,152.74	27.80%
Current Year	-	-	-	-	-
Total	₱6,465,137.47	-	₱1,795,984.73	₱4,669,152.74	27.80%
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the forty (40) audit recommendations in the CY 2024 Annual Audit Report, eighteen (18) were fully implemented and twenty-two (22) were not implemented.